

issue which presumably constituted a high-grade investment. (In 1931 the Glen Alden Coal Company earned \$9,550,000 available for interest charges of \$2,151,000, thus covering the bond requirements $4\frac{1}{2}$ times.) By valuing this interest income on about a 10% basis the market was in fact valuing the Glen Alden bonds at only 37 cents on the dollar. (The price of 23 for a share of Lackawanna Securities was equivalent to \$60 face value of Glen Alden bonds at 37, plus \$1 in cash)

Here again, as in the Northern Pipe Line example, analysis would show convincingly that the customary ten-times-earnings basis resulted in a glaring undervaluation of this specially situated issue.

Tobacco Products Corporation

Item	Price: December 1931	Market value
Capitalization		
2,240,000 shares of 7% Class A (par \$20)	\$6	\$13,440,000
3,300,000 shares common	$2\frac{1}{4}$	7,425,000
Total		\$20,825,000
Net income for the year 1931		about \$2,200,000
Earned per share of Class A		about \$1
Earned for common after Class A dividends		nil
Dividend paid on Class A		\$0.80

3. *Tobacco Products Corporation of Virginia.* In this example, as in the other two, the company was selling in the market for about ten times the latest reported earnings. But the 1931 earnings of Tobacco Products were derived entirely from a lease of certain of its assets to American Tobacco Company, which provided for an annual rental of \$2,500,000 for 99 years from 1923. Since the American Tobacco Company was able to meet its obligation without question, this annual rental income was equivalent to interest on a high-grade investment. Its value was therefore much more than ten times the income therefrom. This meant that the market valuation of the Tobacco Products stock issues in December 1931 was far less than was justified by the actual position of the company. (The value of the lease was in fact calculated to be about \$35,600,000 on an amortized basis. The company also owned a large amount of United